

21 Jul 2026 11:22:41 ET | 13 pages

Estun (002747.SZ)

What's New from Citi's Call – Cost Reduction Drives GPM Expansion, KUKA Could be a Potential Threat

CITI'S TAKE

We hosted Board Secretary Ms. Xiao Tingting today (21 July) to discuss Estun's business outlook post its 1H26 preliminary results. Key takeaways are **1)** Estun's industrial robot GPM improved to 33%-34% in 2Q26, driven more by cost reduction (e.g., component localization, design-led cost down, etc.) than by customer diversification; **2)** with good 1H26 results, Ms. Xiao expects that previous guidance for 2026 – Rmb6.0bn revenue, 31% GPM, 5% NPM, and 45k industrial robot shipments – can be achieved; and **3)** the imminent threat on the industrial robot side could be from KUKA (unlisted), which has been optimizing its cost structure aggressively through key component localization. Despite Estun's fundamental improvement, **we prefer reducer makers [Leader Drive \(688017.SS; harmonic reducer\)](#) and [Shuanghuan Drive \(002472.SZ; RV reducer\)](#) over [Estun \(002747.SZ\)](#)** as we think that China's industrial robot competition could soon intensify through more component localization. Please see below for more key takeaways.

GPM improvement – Ms. Xiao indicated that cost reduction was the key reason leading to GPM expansion. In addition, Estun reduced its reliance on big clients BYD (1211.HK) and CATL (300750.SZ / 3750.HK), lowering revenue from the two customers from ~Rmb800mn in 1H25 to ~Rmb400mn in 1H26. The two companies also procure more high payload industrial robots (e.g., 200kg-250kg or even 1 ton industrial robot) from Estun. Ms. Xiao believes that the blended GPM target of 31.0% in 2026 is achievable as there is more room for further cost reduction. Estun is also localizing CLOOS's key components such as reducers and relocating the manufacturing of welding machines to Poland to lower its overseas production costs.

Industrial robot shipment – Ms. Xiao guided that Estun's industrial robot shipments could be 19k-20k in 1H26, ranking as the biggest industrial robot maker in China. She believes that the 2026 full-year shipment target of 45k should be achievable, of which 42k-43k/2k-3k could be sold in China/overseas.

Potential threat – Among the four biggest industrial robot makers, KUKA is considered an imminent threat to Estun as KUKA, after being acquired by Midea (000333.SZ / 0300.HK), has been aggressively localizing its component supplies in order to make its products more price competitive. Our industry checks show that [Leader Drive \(688017.SS\)](#) and [Shuanghuan Drive \(002472.SZ\)](#) have entered KUKA's supply chain, while [Laifual \(3952.HK\)](#) has just passed KUKA's certification.

Sell

Price (21 Jul 26 15:00)	Rmb33.430
Target price	Rmb28.000
Expected share price return	-16.2%
Expected dividend yield	0.0%
Expected total return	-16.2%
Market Cap	Rmb29,118M
	US\$4,302M

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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Bull/Bear: Estun

Rmb **45.400**
▲36% Upside

Rmb **28.000**
▼16% Downside

Rmb **21.600**
▼35% Downside



Spread 71pp
Current Price and expected returns (upside/downside) as of 21 Jul 2026



BULL Assumptions

- Rerated to 20.0x P/B due to better-than-expected Estun & CLOOS shipment



BASE Assumptions

- Valued at 12.3x 2026E P/B



BEAR Assumptions

- Worse-than-expected Estun & CLOOS shipment

Estun

Valuation

We use P/B as our valuation methodology due to Estun's fluctuating earnings. Our target price of Rmb28.0 is based on 12.3x 2026E P/B, set at 2.0 SD above average to reflect Estun's improving fundamentals.

Risks

Key upside risks that could cause Estun shares to trade above our target price include: 1) stronger-than-expected industrial robot shipments or market share gains; 2) better-than-expected GPM due to lower raw material costs or alleviated price competition; and 3) favorable FX.

Leader Drive

(688017.SS; Rmb326.66; 1; 21 Jul 26; 15:00)

Valuation

Our target price for LD of Rmb496 is based on 322x 2027E P/E, set at +1.5x SD to reflect its stronger-than-expected visibility for both humanoid and industrial robots.

Risks

Key fundamental downside risks that could cause the stock price deviate from our target price include: 1) slower growth in the automation market; 2) intensifying competition from foreign or local brands due to industry consolidation; 3) higher raw material costs eroding GPM; and 4) lower contribution from humanoid robot and other emerging applications.

Shuanghuan Drive

(002472.SZ; Rmb37.67; 1; 21 Jul 26; 15:00)

Valuation

We value Shuanghuan at Rmb45.0/share, set at 26x 2026E EPS which is equal to its average P/E over the past five years.

Risks

Our quant rating is High Risk for Shuanghuan, but we think it is unwarranted as the outlook for NEV gear and RV reducers has improved. Downside risks that could impede the stock from reaching our TP include: 1) lower-than-expected shipments of NEV gears; 2) weaker GPM due to higher depreciation expenses; and 3) slower-than-expected localization of RV reducers.

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Appendix A-1

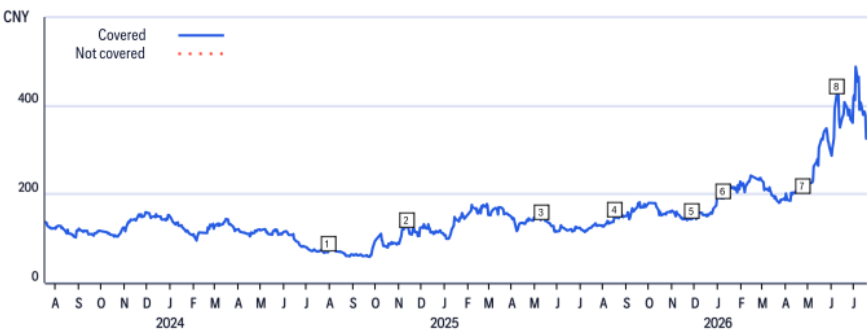
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Leader Drive (688017.SS)
Ratings and Target Price History
Fundamental Research

Analyst: Jamie Wang



	Date	Rating	Target Price	Closing Price
1	30-Jul-24 08:24:54	3	*50.00	71.15
2	12-Nov-24 22:28:37	3	*90.00	125.50
3	09-May-25 15:47:47	3	*105.00	141.99

	Date	Rating	Target Price	Closing Price
4	17-Aug-25 19:06:13	*1	*175.00	148.31
5	26-Nov-25 22:47:23	1	*187.00	145.31
6	07-Jan-26 13:19:54	1	*233.00	190.88

	Date	Rating	Target Price	Closing Price
7	23-Apr-26 12:27:07	1	*238.00	203.77
8	08-Jun-26 03:41:43	1	*496.00	428.25

*Indicates Change

Rating/target price changes above reflect Eastern Time

Estun (002747.SZ)
Ratings and Target Price History
Fundamental Research

Analyst: Jamie Wang



	Date	Rating	Target Price	Closing Price
1	31-Oct-23 15:07:48	1	*29.00	18.80
2	02-Feb-24 02:20:39	1	*16.00	12.63
3	07-May-24 03:17:15	*3	*14.00	16.59

	Date	Rating	Target Price	Closing Price
4	11-Jul-24 13:42:47	3	*10.60	13.10
5	04-May-25 18:27:04	3	*13.60	20.00
6	01-Sep-25 19:52:14	3	*13.80	23.63

	Date	Rating	Target Price	Closing Price
7	13-Jul-26 05:08:34	3	*28.00	38.50

*Indicates Change

Rating/target price changes above reflect Eastern Time

Shuanghuan Drive (002472.SZ)

Ratings and Target Price History Fundamental Research

Analyst: Jamie Wang



	Date	Rating	Target Price	Closing Price
1	05-Nov-23 18:29:09	1	*33.00	27.73
2	12-Apr-24 12:27:27	1	*28.00	21.60

*Indicates Change

	Date	Rating	Target Price	Closing Price
3	17-Feb-25 10:44:22	1	*42.00	36.38
4	04-Nov-25 01:57:49	1	*50.00	41.42

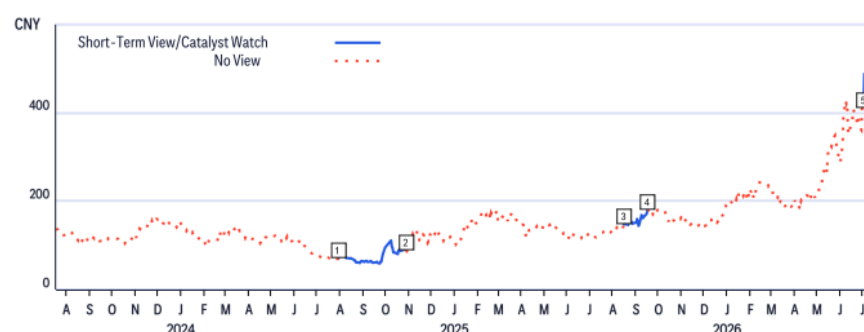
	Date	Rating	Target Price	Closing Price
5	24-Apr-26 07:23:19	1	*45.00	36.63

Rating/target price changes above reflect Eastern Time

Leader Drive (688017.SS)

Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang



	Date	Action	Expected Direction	Duration	Closing Price
1	30-Jul-24 04:24:54	Add STV	Downside	90 Days	71.15
2	28-Oct-24 23:28:10	Remove STV	Downside	90 Days	89.31

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
3	17-Aug-25 15:06:13	Add STV	Upside	30 Days	148.31
4	16-Sep-25 23:18:07	Remove STV	Upside	30 Days	180.39

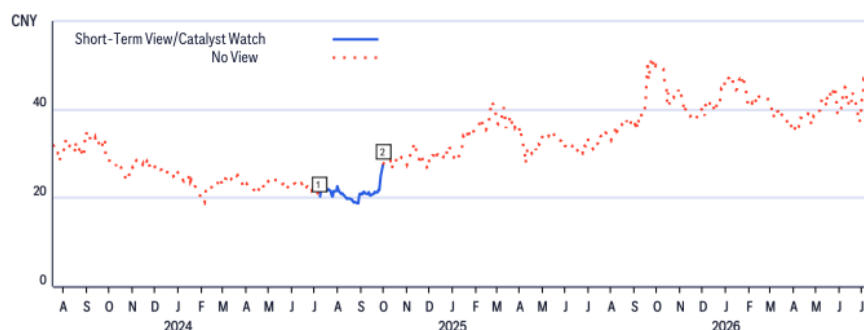
	Date	Action	Expected Direction	Duration	Closing Price
5	02-Jul-26 09:15:55	Add STV	Upside	90 Days	413.05

Rating/target price changes above reflect Eastern Time

Shuanghuan Drive (002472.SZ)

Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang



	Date	Action	Expected Direction	Duration	Closing Price
1	08-Jul-24 08:20:28	Add STV	Upside	90 Days	20.35

CW - Catalyst Watch, STV - Short-Term View

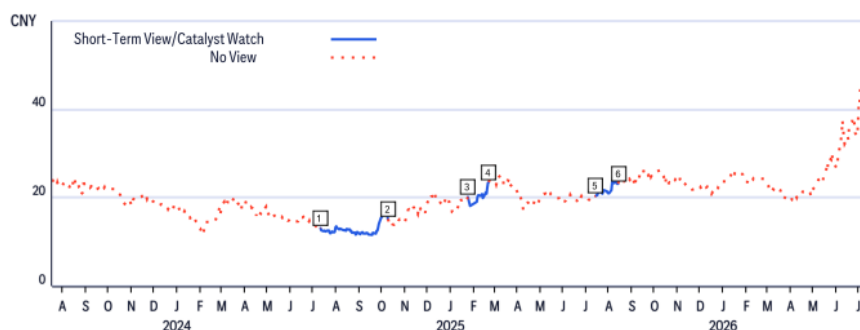
	Date	Action	Expected Direction	Duration	Closing Price
2	06-Oct-24 23:26:16	Remove STV	Upside	90 Days	27.56

Rating/target price changes above reflect Eastern Time

Estun (002747.SZ)

Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang



	Date	Action	Expected Direction	Duration	Closing Price
1	11-Jul-24 09:42:47	Add STV	Downside	90 Days	13.10
2	09-Oct-24 23:26:15	Remove STV	Downside	90 Days	15.18
3	24-Jan-25 02:16:06	Add STV	Downside	30 Days	20.17
4	23-Feb-25 21:14:39	Remove STV	Downside	30 Days	23.54
5	14-Jul-25 08:31:16	Add STV	Downside	30 Days	20.39
6	13-Aug-25 23:05:37	Remove STV	Downside	30 Days	23.17

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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